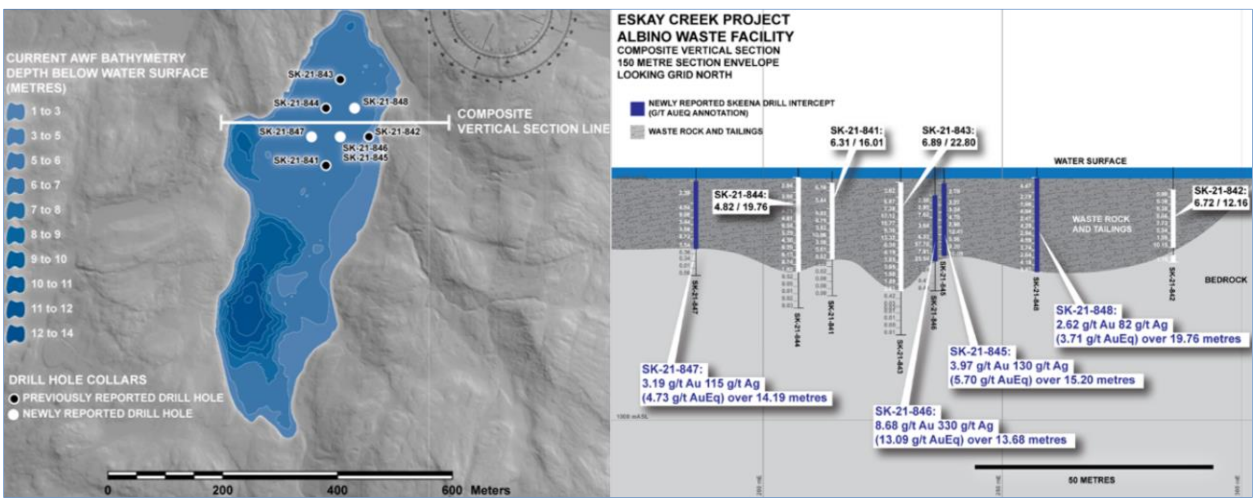
Ticker: SKE CN	**SCPe cash:** C$85m	**Project**: Eskay Creek
Market cap: C$812m	**Price:** C$3.34/sh	**Country:** Canada, BC
RECOMMEND. (unc): BUY	*TARGET (unc): C$4.30/sh*	*RISK RATING: HIGH*

*Today's results from the Albino waste facility are even more impressive than last week's 4-6g/t AuEq in the first four holes, with today's remaining four holes hitting between 4-13g/t, including higher grade intervals of **1.5m @ 57.7g/t and 1.5m @ 25.5g/t AuEq**. The 1Q21 drilling is clearly a success, hitting both strong grades with good continuity between holes in only a ~6,200m² area of the total >128,000m² AWF area. That's where this gets interesting – even at only 1.5 specific gravity and 10m average thickness including shallower margins, the implied ~2Mt equates to 372koz @ 6g/t (or ~50koz already), which now looks beatable on tonnes and grade given thicknesses up to 23m and much higher grades in places. With Snip and satellite optionality already potentially supporting a lift from 350koz pa to 400-500koz pa, this third-source only strengthens that potential, and certainly should improve payback. The feed has a double-win of being pre-ground, as well as 'mining' effectively being a remediation exercise as well, albeit that will require careful planning, and further metallurgical works, albeit these lakes are typically hypoxic meaning the material remains 'fresh'. We **maintain our BUY rating and C$ 4.30/sh PT based on a 0.8xNAV$_{5\%-1850-24}$**. This includes 2.7Moz of Eskay Creek resources outside our modelled 3Moz AuEq mining inventory at an attributed US$50/oz. In our view, the premium is warranted given the potential bump to >400koz pa with Snip / historic waste / satellites, all in tier 1 jurisdiction. Exploration should now proceed in parallel with the ~1Q22 FS where we would look for payability . Thereafter we think the recent Tahltan investment bodes well for cooperative permitting, which could see build start before the 2024 base case.*

Figure 1. (A) Plan view of the AWF and (B) vertical section showing recent drill results



Source: Skeena

More high-grade in the waste pile with 14m @ 13g/t AuEq including 1.5m @ 57g/t AuEq

Results from the remaining four holes drilled from the ice surface above the Albino Waste Facility area returned **15.2m @ 5.7g/t, 13.7m @ 13.1g/t, 14.2m @ 4.7g/t and 19.8m @ 3.7g/t AuEq.** Two high-grade subintervals highlighted **1.5m @ 57.7g/t and 1.5m @ 25.5g/t AuEq**. The initial 1Q21 drilling confirmed high-grade Au-Ag mineralization at Albino on 50m centers. Only 6,223m² of the total 128,900m² area has been drilled, hence Skeena is planning a follow up extension program in 2H21.

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- CY21: Regional drilling
- 2Q21: Permitting update
- 1Q22: BFS including expanded resource

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Ticker: SKE CN	Price / mkt cap: C$3.75/sh, C$912m	Project PNAV today:	0.72x	Asset:	Eskay Creek / Snip
Author: B Salier/ B Gaspar	Rec / 0.8xNAV PT BUY, C$4.35/sh	$1xNAV_{1Q21}$ FF FD:	C$5.19/sh	Country:	Canada: BC

Commodity price	CY18A	CY19A	CY20E	CY21E	CY22E
Gold price	1,850	1,850	1,850	1,850	1,850

SOTP *project* valuation*	C$m	O/ship	NAVx	C$/sh
Ungeared proj. @ build start (2Q22)	1,367	100%	1.00x	4.99
Cash 1Q21 + raise	85	100%	1.00x	0.31
Cash from options	42	100%	1.00x	0.15
Eskay Ck resources ex reserve @US$50/oz	137	100%	1.00x	0.50
Snip (US$75/oz)	60	100%	1.00x	0.22
Asset NAV5% C$1850/oz	1,690			6.18
Shares diluted for options but not mine build		Market P/NAV8% 2Q20		0.66x

Asset value: 1xNPV project @ build start (C$m, ungeared)*					
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	1,207	1,304	1,401	1,497	1,594
7.5% discount	1,343	1,452	1,560	1,668	1,776
5.0% discount	1,504	1,626	1,749	1,871	1,993
Ungeared project IRR:	84%	91%	97%	103%	109%
Project NPV (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
3.7g/t AuEq	1,263	1,376	1,453	1,563	1,673
4.1g/t AuEq	1,504	1,626	1,749	1,871	1,993
4.5g/t AuEq	1,775	1,910	1,995	2,126	2,257
NPV5 (C$m)*	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	1,263	1,376	1,453	1,563	1,673
Payability: 74%	1,504	1,626	1,749	1,871	1,993
Payability: 81%	1,775	1,910	1,995	2,126	2,257

Project level NPV, excl finance costs and central SGA, discounted to build start

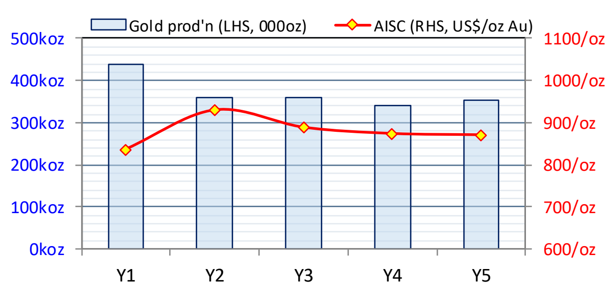
Group valuation over time^	2Q21	2Q22	2Q23	2Q24	2Q25
Eskay Creek (C$m)	1,318	1,415	1,640	1,777	1,456
Net cash prior qtr (C$m)	85	(9)	(65)	(132)	243
G&A and finance costs (C$m)	(84)	(83)	(80)	(68)	(50)
Cash from options (C$m)	42	42	42	42	42
Snip	60	60	60	60	60
NAV FF FD (C$m)	1,420	1,425	1,596	1,679	1,751
$1xNAV_{5\%}$/sh FF FD (C$/sh)	5.19^	5.21^	5.42*	5.70*	5.95*
Equity ROI from spot (% pa)		39%	28%	23%	20%

Geared company NAV diluted for mine build, net G&A and finance costs					
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
10.0% discount	3.90	4.26	4.62	4.98	5.34
7.5% discount	4.28	4.67	5.07	5.46	5.85
5.0% discount	4.72	5.15	5.58	6.01	6.44
Geared project IRR:	76%	82%	88%	94%	100%
2Q22 1xNAV FF FD (C$/sh)^	$1750oz	$1850oz	$1950oz	$2050oz	$2150oz
Payability: 67%	3.85	4.25	4.52	4.91	5.30
Payability: 74%	4.72	5.15	5.58	6.01	6.44
Payability: 81%	5.69	6.16	6.46	6.93	7.39

*^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity*

Production	Y1	Y2	Y3	Y4	Y5
Gold production (000oz)	439	360	359	339	354
C1 cost (US$/oz)	823	894	858	844	828
AISC cost (US$/oz)	838	932	890	875	871

AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024



Source: SCP estimates

Resource / Reserve	AuEq (koz)	AuEq (g/t)
Pittable resource	5425koz	4.17g/t
Underground resource	224koz	5.41g/t
Snip	646koz	13.60g/t

Funding: uses		Funding: sources	
PFS capex	C$303m	SCPe 1Q21 cash + options cash*	C$45m
SCPe G&A to 1st Au + ABX $	C$15m	1Q21 raise	C$58m
SCPe pre-production expl'n	C$11m	Mine debt @ 60% gearing	C$212m
SCPe finance costs + wkg cap	C$68m	Mine build equity at 30% prem.	C$100m
Total uses	C$397m	Total proceeds	C$414m
Cash from options expiring pre first pour		Buffer	C$17m

Share data			
Basic shares (m)	243.2	FD with build equity raise	294.2
FD with options (m)	273.7		

Ratio analysis	CY18A	CY19A	CY20E	CY21E	CY22E
Average shares out (m)	91.3	107.3	145.0	158.9	167.2
EPS (C$/sh)	-	-	-	-	-
CFPS (C$/sh)	-	-	-	-	-
EV (C$m)	341.1	390.6	524.3	621.0	828.9
FCF yield (%)	-	-	-	-	-
PER (x)	-	-	-	-	-
P/CF (x)	-	-	-	-	-
EV/EBITDA (x)	-	-	-	-	-

Income statement	CY18A	CY19A	CY20E	CY21E	CY22E
Net revenue (C$m)	-	-	-	-	-
Gross profit (C$m)	**-**	**-**	**-**	**-**	**-**
D&A, attrib (C$m)	0.2	0.4	-	-	-
Admin (C$m)	4.3	4.5	5.0	5.0	5.0
Expensed exploration (C$m)	11.5	12.8	-	-	-
Finance cost (C$m)	(0.0)	(0.1)	-	-	(3.4)
Royalty (C$m)	-	-	-	-	-
Forex, other (C$m)	(0.5)	9.5	-	-	-
Taxes (C$m)	-	-	-	-	-
Net income (C$m)	**(15.5)**	**(27.1)**	**(5.0)**	**(5.0)**	**(1.6)**

Cash flow, attrib.	CY18A	CY19A	CY20E	CY21E	CY22E
EBIT (C$m)	(15.5)	(27.2)	(5.0)	(5.0)	(5.0)
Add back D&A (C$m)	0.2	0.4	-	-	-
Less tax + net interest (C$m)	(0.0)	(0.1)	-	-	(3.4)
Net change in wkg cap (C$m)	(1.4)	4.2	-	-	-
Add back other non-cash (C$m)	1.6	12.0	-	-	-
Cash flow ops (C$m)	**(15.1)**	**(10.5)**	**(5.0)**	**(5.0)**	**(1.6)**
PP&E - build + sust. (C$m)	3.2	0.6	-	(139.6)	(163.6)
PP&E - expl'n (C$m)	-	(0.2)	-	-	(11.5)
Cash flow inv. (C$m)	**3.2**	**0.4**	**-**	**(139.6)**	**(175.1)**
Share issue (C$m)	12.0	22.1	-	100.0	-
Proceeds from sale (C$m)	-	-	-	-	-
Debt draw (repay) (C$m)	-	-	-	70.6	141.2
Cash flow fin. (C$m)	**12.0**	**22.1**	**-**	**170.6**	**141.2**
Net change in cash (C$m)	0.1	12.0	(5.0)	26.0	(35.5)
EBITDA (C$m)	(15.4)	(26.8)	(5.0)	(5.0)	(5.0)

Balance sheet	CY18A	CY19A	CY20E	CY21E	CY22E
Cash (C$m)	1.1	13.1	23.9	49.9	14.4
Acc rec., inv, prepaid (C$m)	3.7	2.8	5.2	5.2	5.2
PP&E + other (C$m)	19.7	8.5	14.2	153.8	328.9
Total assets (C$m)	**24.6**	**24.4**	**43.3**	**208.9**	**348.5**
Debt (C$m)	-	1.5	4.5	75.1	216.3
Accounts payable (C$m)	1.4	4.1	11.8	11.8	11.8
Others (C$m)	4.6	7.2	6.2	6.2	6.2
Total liabilities (C$m)	6.0	12.8	22.4	93.0	234.2
Sh'hlds equity + wrnts (C$m)	81.6	99.2	131.2	231.2	231.2
Retained earn'gs + rsvs (C$m)	(63.0)	(87.6)	(116.1)	(121.1)	(122.7)
Liabilities + equity (C$m)	**24.6**	**24.4**	**37.5**	**203.1**	**342.7**

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SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	41

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